Course Details

- GC Code: ug7n2e4g
- Evaluation: Will give exact dates of quizzes after seeing final registration numbers.

Type of Evaluation	**% Contribution to Grade**
Quiz (4)	40
Midterm	30
End Term	30

Table: Grade Evaluation Breakdown

Thinking like an Economist

Reference: Principles of Microeconomics by Mankiw (8e)

Indraprastha Institute of Information Technology, Delhi

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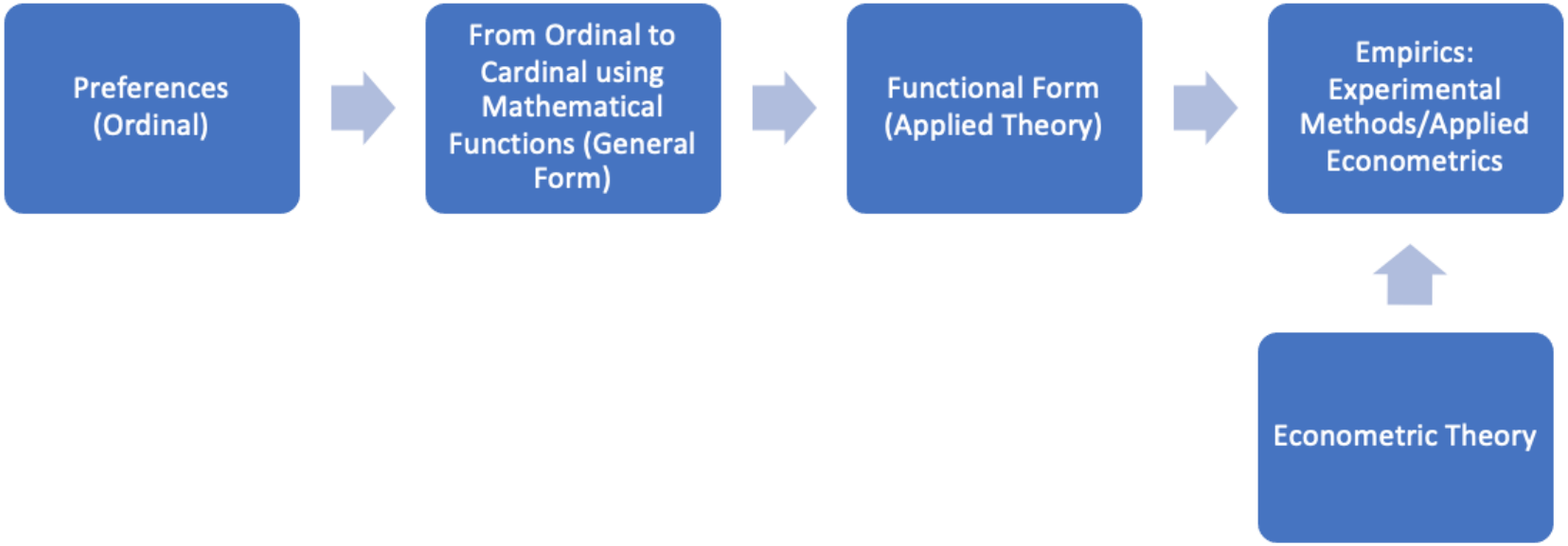
Scarcity

- Probably the most important reason economics exists.
- "Scarcity means that society has limited resources and therefore cannot produce all the goods and services people wish to have."
- Then, the role of economics is to understand how society manages these scarce resources.

Observation and Theory

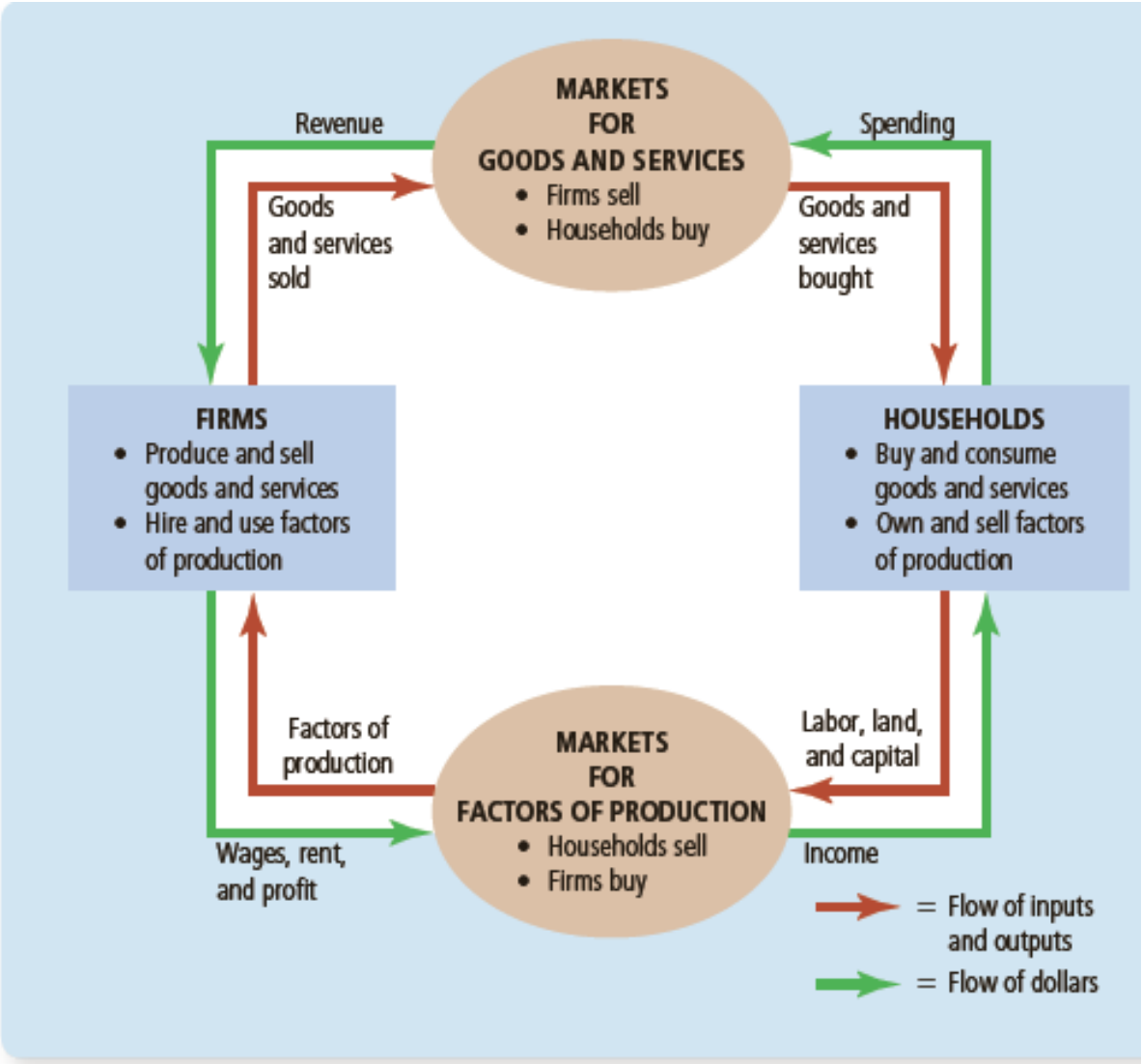


- Observation
- Theory
- Observation again

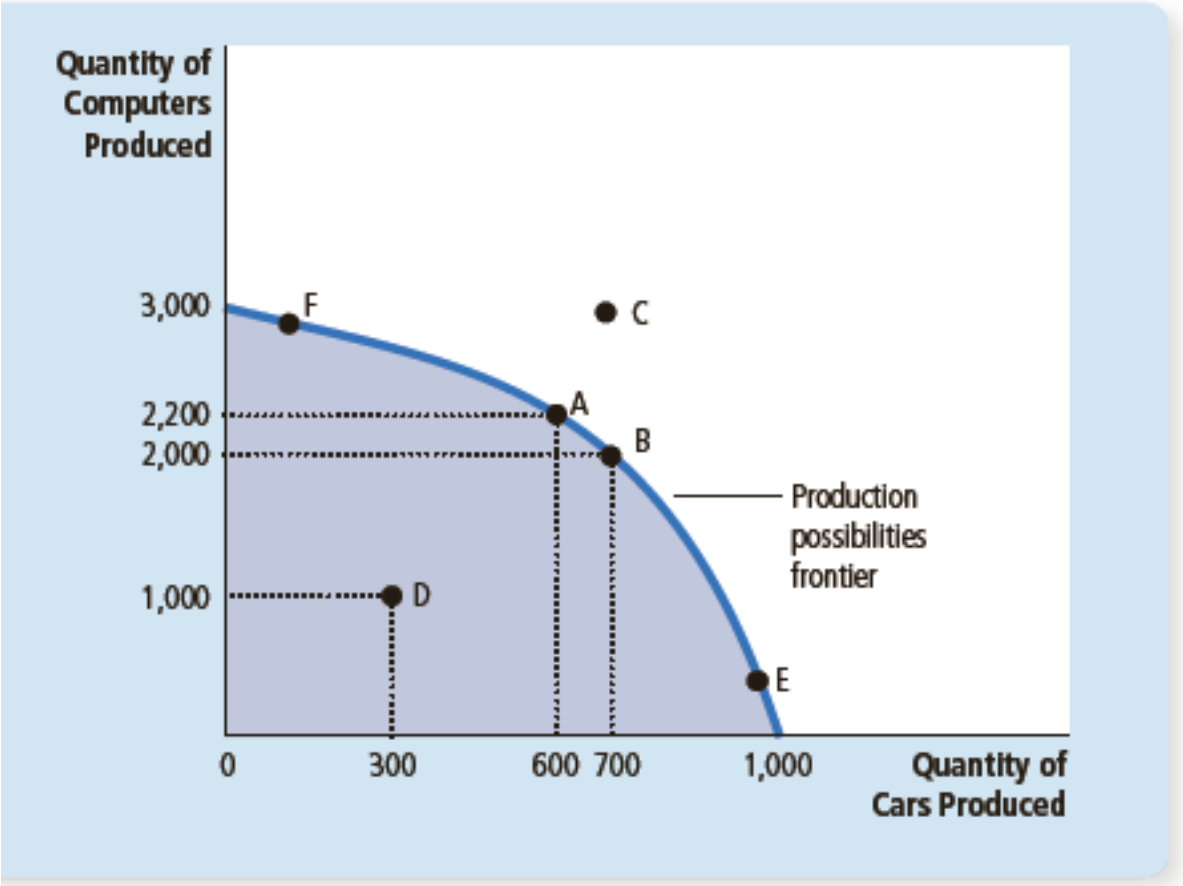
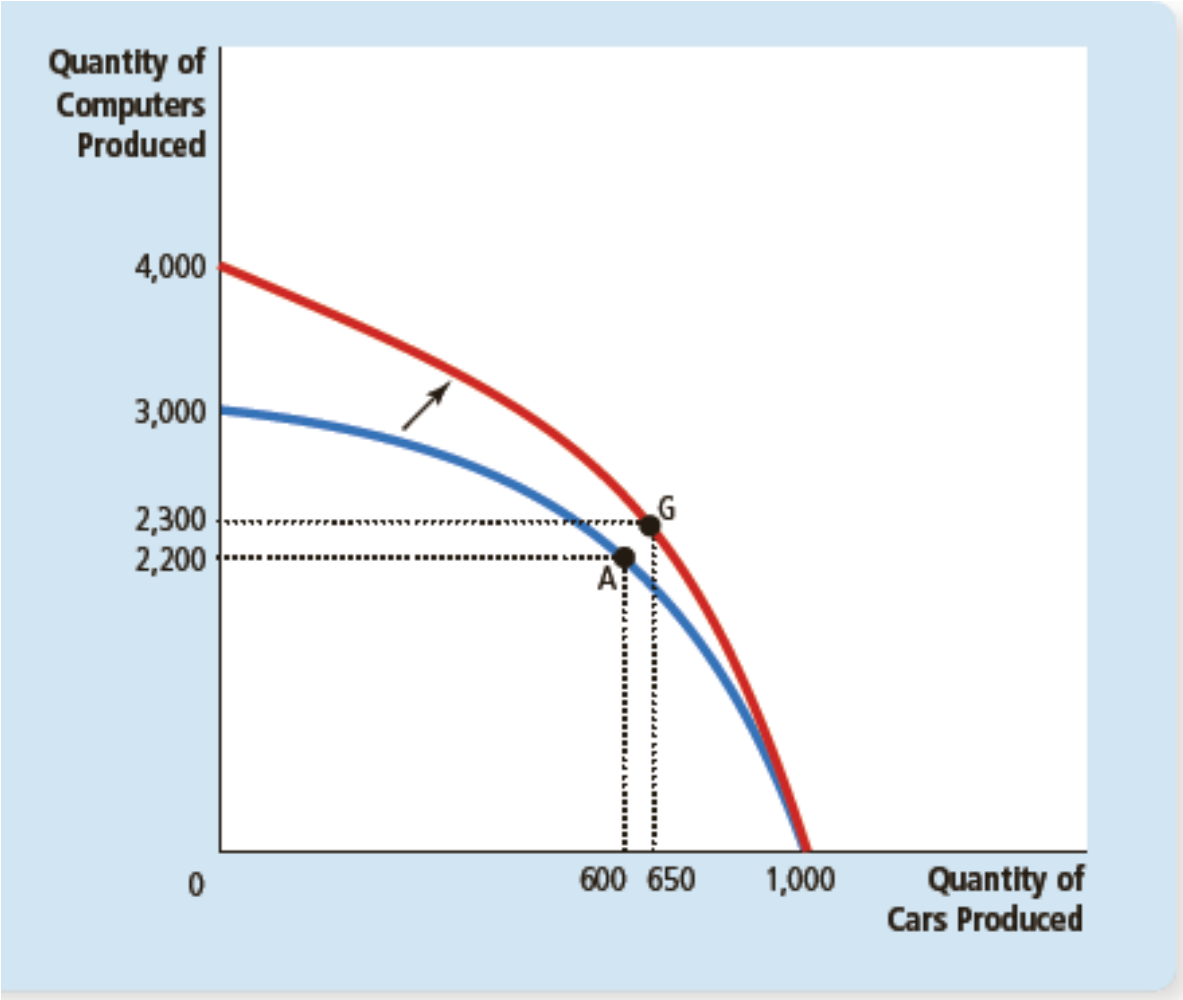
The Role of Assumptions

- Not that different from physics (for example, a "frictionless surface").
- To study concepts in isolation (partial equilibrium)
- However, assumptions must be reasonable.
- A common one used in economics is "ceteris paribus" (other things remaining constant).

Models: Example 1



Models: Example 2a



Models: Example 2b